

Kotak Mahindra Life

Policy revival as a risk-based journey — when one process for every lapse is the problem

A lapsed policy is a customer the insurer has already acquired, already underwritten and already lost. Reviving one is the cheapest premium in the business — and it is usually run as a single heavy process that treats every lapse the same.

1

process where three
were needed

3

risk paths
designed

5

systems behind
one case

2

programmes,
2022 and 2026

1

underwriting question
that sorts them

0

revivals that need
the full path

Revival is underwriting, not administration — and the single heaviest path was being applied to cases that never needed it

Situation

A life insurer running policy revival for lapsed policies. Where the lapse is beyond a defined threshold the revival requires fresh underwriting, because the insured's health and circumstances may have changed since the policy was written.

That requirement is real, and it is what makes revival a servicing process with an underwriting decision inside it.

Complication

Because some revivals need full underwriting, the process was built to handle full underwriting — and then applied to all of them.

A policy lapsed for two months on a small sum assured for a customer in their thirties went through the same evidence collection, the same medical requirements pathway and the same turnaround as one lapsed for two years on a large sum for an older insured. The heavy path is correct for a minority and a deterrent for the rest.

The redesign

Segment revival by underwriting risk at the point of intake, not after evidence collection. Three paths: a declaration-only path for low-risk cases, a standard evidence path, and the full underwriting path for cases that genuinely warrant it.

Same case model, same systems, same audit trail. Different requirements gathered, and a different turnaround promised.

THE NUMBERS THAT MATTER

3

revival paths

1

intake decision that routes

5

systems behind one case

1

case model, unchanged

2

delivery phases

0

reduction in evidence where risk is real

The principle behind it: where a process contains a risk decision, the risk decision should determine the process — not the other way round. Building for the hardest case and applying it universally is the most common shape of servicing friction, and it is almost always invisible from inside the process.

The programmes and the systems involved come from the delivery record; the three-path model and the segmentation analysis are design work

DELIVERED SCOPE Programme context The revival programmes and the servicing estate they ran across, as delivered. - Major revival transformation, 2022 - Risk-based revival redesign, 2026 - Document integration across the estate - Five systems in the servicing chain - Existing underwriting rules in place - Reporting and audit obligations	DELIVERY RECORD My ownership Delivery lead across both revival programmes and the associated document integration. - Revival journey redesign - Intake-stage routing design - Document integration across systems - Case model and audit continuity - Requirement through production - Two phases, four years apart	METHOD ILLUSTRATION Reconstructed The design detail shown illustrates the approach taken. Specific definitions, categories and figures are reconstructed for presentation and are not quoted from the programme record. - Approach is from the engagement - Detail is reconstructed to illustrate it - Figures are directional, never measured - Confirm specifics before citing them - The method is what transfers - Ask me for the underlying record	OUT OF SCOPE Not claimed Excluded deliberately, particularly anything belonging to the underwriting function. - Any underwriting rule or threshold - Any policy, medical or customer data - Any revival decision or outcome - The insurer's pricing or reserving - Any confidential document - Measured business outcomes
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A revived policy is the cheapest premium an insurer can write — and the process standing in the way is usually its own

Why revival is valuable

- The customer is already acquired — no distribution cost, no acquisition spend.
- The policy is already underwritten once, so the insurer has history it does not have on a new applicant.
- Persistency is a reported measure that boards and regulators both watch.
- And a revived policy restores cover the customer originally decided they wanted.

Why lapses happen

- Most lapses are administrative rather than deliberate — a failed mandate, a changed account, a missed reminder.
- A smaller group are affordability-driven and may revive when circumstances change.
- A genuine minority have decided they no longer want the cover.
- The first group is the largest and the easiest to recover — if the process does not obstruct them.

Why the process obstructs

- Revival beyond a threshold requires fresh underwriting, which is a real and necessary control.
- So the process is designed around the underwriting requirement.
- Then it is applied to every case, including the two-month administrative lapse that carries almost no new risk.
- The customer experiences a medical evidence request for a policy they simply forgot to pay.

The asymmetry that makes this worth fixing

The underwriting requirement exists to protect against anti-selection — someone whose health has deteriorated reviving cover they would no longer qualify for. That risk is real and it rises sharply with the length of the lapse and the size of the sum assured.

It is close to negligible for a short administrative lapse on a modest policy. Applying the same evidence burden to both is not a conservative choice; it is a mis-specified one, because it deters exactly the low-risk revivals the insurer most wants and does nothing additional about the high-risk ones the requirement was written for.

The fix is not to weaken the control. It is to apply it where the risk is.

Three paths, routed at intake — the risk decision determines the process rather than the process determining what gets asked

Declaration path

Short lapse, modest sum assured, no adverse history

- Health declaration only
- No medical evidence requested
- Automated where declarations are clean
- Turnaround measured in hours

Standard evidence path

Moderate lapse or sum assured, or a declaration that flags

- Declaration plus defined evidence set
- Rules-driven requirement generation
- Underwriter review where flagged
- Turnaround measured in days

Full underwriting path

Long lapse, large sum assured, or adverse disclosure

- Full evidence and medical requirements
- Underwriter assessment in every case
- May be declined or revived on revised terms
- Turnaround measured in weeks

The routing decision

- Taken at intake from data the insurer already holds — lapse duration, sum assured, policy history, prior disclosures.
- No customer effort is required to be routed; the customer only sees the requirements their path generates.
- Rules live in the rules engine, owned by underwriting, and changing them does not require a release.

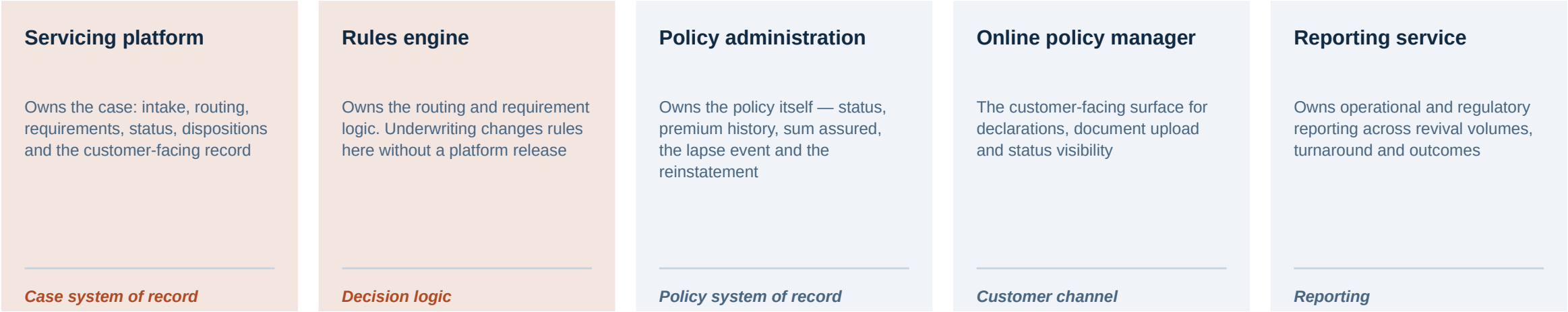
What stayed identical

- One case model, one audit trail, one set of dispositions — a revival is the same object whichever path it takes.
- The same document store, the same status vocabulary, the same reporting.
- Three paths, not three processes. That distinction is what keeps it maintainable.

Where the control is unchanged

- The full path is not diluted. Cases that genuinely warrant full underwriting still get it, in full.
- The declaration path can escalate — an adverse disclosure routes the case up mid-flight.
- Routing is a starting assumption, not a final classification.

Five systems stand behind one revival case — and the document integration between them was the largest single piece of the work



Why documents were the hard part

- A revival generates declarations, evidence, medical reports and correspondence, arriving through several channels.
- Each system had its own view of what documents existed, and none had the complete set.
- Underwriters were assembling packs manually from three places, which is both slow and a genuine audit exposure.

What the integration established

- One document store as the source of truth, with every system referencing rather than holding copies.
- Documents attached to the case, not to the channel that received them.
- Completeness visible at the case, so a case waiting on evidence is distinguishable from one waiting on a decision.

Why that distinction matters

- Waiting on the customer and waiting on the insurer are completely different operational states.
- Conflated, they produce a turnaround figure that measures nothing actionable.
- Separating them is the prerequisite for any credible service-level commitment on revival.

Four rules for a servicing process with a risk decision inside it

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| 01 | Let the risk decision shape the process | Where a control is necessary for a minority of cases, building the process around it and applying it universally deters exactly the cases you want and adds nothing to the ones the control was written for. |
| 02 | Route at intake, from data you already hold | Segmentation that requires customer effort is not segmentation — it is another form. Routing from lapse duration, sum assured and history costs the customer nothing and happens before any requirement is raised. |
| 03 | Three paths, never three processes | One case model, one audit trail, one status vocabulary, one document store. Different requirements and different turnaround promises. Anything more divergent becomes three systems to maintain. |
| 04 | Separate waiting on us from waiting on them | Conflating the two produces a turnaround measure that cannot be acted on and a service-level commitment that cannot be made. It is the smallest change with the largest operational effect. |

The heavy path was correct for the cases it was designed for and a deterrent for everything else. Applying a control where the risk actually sits is not a relaxation of it — it is the first time it was specified properly.